LEGAL DUE DILIGENCE REPORT

Project Falcon — Proposed Acquisition of Greaves Precision Components Limited

PRIVILEGED & CONFIDENTIAL — PREPARED FOR BRACKEN GROUP PLC

Whitfield Carter LLP · 26 September 2025 · Reference WC-00116

1 Executive Summary

This report summarises the findings of our legal due diligence review of Greaves Precision Components Limited (the "Company") carried out in connection with Project Falcon. Our review covered the materials made available in the data room between 1 August and 24 September 2025 and replies to our enquiries of the Company's solicitors, Castle & Vane LLP. Capitalised terms have the meanings given in our engagement letter.

Overall, we did not identify any matter that, in our view, should prevent the Buyer from proceeding with the Acquisition. We have identified a number of issues that should be addressed through specific disclosure, warranty protection, a specific indemnity or price adjustment, the most significant of which are summarised in the Red Flag table below and discussed in the relevant sections.

Red Flag Summary

Ref	Issue	Risk	Recommended protection
3.2	Customer concentration — Severn Aero Systems (~18% turnover), contract terminable on 6 months' notice, re-tender Q2 2026	Medium	Specific disclosure; warranty on customers; consider earn-out linkage
4.4	Loss-making Halton Marine tooling contract to Dec 2026 (~£85k)	Low/Med	Price adjustment or specific disclosure
5.1	Intimated unfair dismissal claim (K. Sharp)	Low	Specific indemnity capped at £40k
6.1	HMRC enquiry into FY2023 R&D claim	Medium	Tax covenant; specific indemnity for the claim
7.3	Property — short unexpired term on Unit 7 lease (break 2027)	Low	Warranty; confirm landlord consent to change of control not required

2 Corporate

1. The Company is a private company limited by shares incorporated in England and Wales on 12 March 2002 (number 04412877). The issued share capital is £1,000,000 divided into 1,000,000 ordinary shares of £1.00 each, held as to 60% by Geoffrey Greaves, 15% by Margaret Greaves, 15% by Daniel Greaves and 10% by the Greaves Family Trust. The statutory registers appear to be complete and up to date, and the shareholdings are consistent with the cap table at data room document 1.2.

2. We reviewed the articles of association (adopted 2014). They contain pre-emption rights on transfer which the Sellers will waive in the SPA. There are no shareholders' agreements, options or other rights over the share capital, save for the matters disclosed.

3 Commercial Contracts

3. The Company's revenue is concentrated in precision-machined components for the aerospace and marine sectors. The largest customer, Severn Aero Systems Ltd, accounted for approximately 18% of turnover for the year ended 31 December 2024. The supply agreement is terminable on six months' notice and is subject to re-tender in Q2 2026. We

recommend that this be specifically disclosed and addressed in the warranty package, and the Buyer may wish to reflect the risk in the earn-out structure (see section 3.2 of the Red Flag table).

4. We identified one onerous contract: a fixed-price tooling supply agreement with Halton Marine Ltd (4 March 2024, to 31 December 2026), which on current input costs is expected to be loss-making by approximately £85,000 over its remaining term. We recommend either a price adjustment or specific disclosure.

4 Employment

5. The Company employs 96 staff. Terms of employment are broadly standard. A consultation is ongoing in relation to changes to shift patterns affecting 14 production employees; no collective redundancy is proposed. We recommend confirmatory warranties on employees and that the change-of-control provisions in the senior management contracts be reviewed.

5 Litigation and Compliance

6. A former employee, Mr K. Sharp, has intimated but not issued a claim for unfair dismissal. The Company considers the claim to be without merit; we recommend a capped specific indemnity. The Company holds the operating permits required for its activities and we did not identify any material non-compliance with health and safety or environmental law in the materials reviewed.

6 Tax

7. The Company's R&D tax relief claim for the period ended 31 December 2023 is under HMRC enquiry. The Company's advisers (Hartley Dunne LLP) consider the claim to be well-founded. We recommend that the tax covenant in the SPA expressly cover this enquiry and that the Buyer obtain a specific indemnity in respect of any clawback and associated interest and penalties.

7 Property and Assets

8. The Company occupies Unit 7, Calderbrook Industrial Estate, Rochdale under a lease expiring in 2030 with a tenant break in 2027. We recommend confirming that no landlord consent is required on a change of control of the tenant. Plant and machinery appear to be owned outright or held under disclosed finance leases.

8 Intellectual Property and IT

9. The Company's know-how resides principally in its engineering drawings and process documentation. There is a short gap in the formal licensing of certain CAD/CAM software, currently being remedied. We recommend an IP warranty and that the software licensing position be confirmed before completion.

9 Recommendations

- Obtain specific disclosure of the customer concentration and onerous contract matters.
- Include a tax covenant and a specific indemnity for the HMRC R&D enquiry.
- Obtain a capped specific indemnity for the intimated Sharp claim.
- Confirm no landlord consent required on change of control of the lease.
- Reflect the customer concentration risk in the earn-out / consideration structure.

This report is provided subject to the limitations in our engagement letter and is for the sole benefit of Bracken Group plc. It is privileged and confidential and may not be disclosed to any third party without our prior written consent.